

that unsuccessfully makes or opposes a motion to compel further responses to discovery requests, unless the court finds that the losing party acted with substantial justification or that other circumstances weigh against the imposition of sanctions. The court finds that the circumstances weigh against the imposition of sanctions.

ROSENBERG, et al. v. ARKSHIRE FINANCIAL, LLC, et al.
Case No. CU26-00107

Motion to Compel Arbitration and Stay Proceedings

TENTATIVE RULING

A dispute exists as to whether Plaintiffs executed an ICA that included an arbitration provision. Plaintiffs contend they did not, but that they signed a 2016 ICA that did not have the arbitration clause. Yet Plaintiffs attach an unsigned “2023” ICA with Arkshire to the complaint that forms the basis of the action that includes arbitration terms which they contend they “accepted” while arguing the contract is missing material terms. (Exh. B, ¶ 25, p 11.) Defendant ARKSHIRE presents evidence of an electronic “signature” on a 2024 ICA that was executed at a conference by each Plaintiff.

As contemplated by statute, the parties stipulated to stay discovery pending resolution of the motion to compel. It appears to the court that additional discovery is appropriate to resolve the limited issue as to what contracts exist between the parties and whether Plaintiffs executed the 2024 version of the ICA that contains the arbitration terms while attending the conference or is there yet another 2023 version floating around?

This limited discovery does not constitute a waiver of the right to compel arbitration. (See e.g. *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 412-413; *Bouton v. USAA Casualty Ins. Co.* (2008) 167 Cal.App.4th 412, 427; *Aronow v. Superior Court* (2022) 76 Cal.App.5th 865, 884; *Brown v. Wells Fargo Bank, NA* (2008) 168 Cal.App.4th 938, 951.)

This matter is continued to permit the parties to engage in depositions of Plaintiffs and Defendant’s PMK(s) as to the formation of contract(s) and arbitration agreement(s), if any, to be completed during the next 45 days.

Defendant may supplement its moving papers in a further pleading not to exceed 7 pages to be filed and served in 60 days. Plaintiff may file and serve a supplemental opposition not to exceed 7 pages in 75 days and Defendant may file and serve a supplemental reply in 90 days not to exceed 3 pages. Hearing on the petition to compel arbitration is continued to October 20, 2026 at 8:30.
